

explaining economic deviations. If you have acute stressors, then periods of rest, how can you separate the stressors from the recovery? Extremistan is characterized by both polar extremes, a high share of low impact, a low share of high impact. Consider that the presence of concentration, here energy expenditure, necessitates that a high number of observations do not contribute to anything except to the dilution. Just as the condition that makes market volatility explained by bursts (say one day in five years represents half the variance) requires that most other days remain exceedingly quiet. If one in a million authors makes half the sales, you need a lot of authors to sell no books.

This is the turkey trap I will discuss later: philistines (and Federal Reserve chairpersons) mistake periods of low volatility (caused by stabilization policies) for periods of low risk, not for switches into Extremistan.

Welcome to Gray Extremistan. Do not tamper too much with the complex system Mother Nature gave you: your body.

Beware Manufactured Stability

By a variant of the same reasoning we can see how the fear of volatility I mentioned earlier, leading to interference with nature so as to impose “regularity,” makes us more fragile across so many domains. Preventing small forest fires sets the stage for more extreme ones; giving out antibiotics when it is not very necessary makes us more vulnerable to severe epidemics—and perhaps to that big one, the grand infection that will be resistant to known antibiotics and will travel on Air France.

Which brings me to another organism: economic life. Our aversion to variability and desire for order, and our acting on those feelings, have helped precipitate severe crises. Making something artificially bigger (instead of letting it die early if it cannot survive stressors) makes it more and more vulnerable to a very severe collapse—as I showed with the Black Swan vulnerability associated with an increase in size. Another thing we saw in the 2008 debacle: the U.S. government (or, rather, the Federal Reserve) had been trying for years to iron out the business cycle, leaving us exposed to a severe disintegration. This is my argument against “stabilization” policies and the manufacturing of a nonvolatile environment. More on that, later. Next, I will discuss a few things about the Black Swan idea that do not appear to easily penetrate consciousness. Predictably.